investing a mechanical tool for identifying statistical bargains (i.e., stocks whose price-to-book or price-to-earnings ratio falls below a certain level), it is, in actuality, a comprehensive investment philosophy based on performing in-depth fundamental analysis, pursuing long-term investment results, resisting crowd psychology, and limiting risk.

Identifying and buying bargains is the sweet spot of value investors. But how much of a bargain to require in order to buy or continue to hold is a matter of art and not science, a judgment call. Price targets for buying and selling must be set and then regularly adjusted to reflect all currently available information.

Value investors should plan to completely exit a security by the time it reaches its full value; owning overvalued securities and hoping they appreciate further is a game for speculators. Indeed, value investors should typically begin selling at a 10% to 20% discount to their assessment of a security's underlying value—the exact discount based on the liquidity of the security, the possible presence of a catalyst for value realization, the quality of management, the degree of leverage employed by the business, and their own confidence regarding the assumptions underlying their analysis. Exiting an investment "too early" and "leaving money on the table" may be frustrating, but it is far less painful than attempting to get out after it's too late. Round-tripping an investment—watching it go up, failing to sell it, and watching it go back down—can be psychologically unsettling and economically costly. Disciplined selling, on the other hand, can open opportunities to exit your position and then possibly reinvest back into a company you already know well at an improved price.

One might think of value investing as the marriage of a contrarian streak and a calculator, the mixing of deep, fundamental analysis with a propensity for going against the grain. Having a differentiated viewpoint is essential. In the stock market, good news isn't helpful if it's already baked into investor expectations.